

Conventional Loan Credit Overlays

TOPIC	POLICY OVERLAY
Products	The following Agency products are not offered by Flagstar Bank • Fannie Mae Homestyle Energy Mortgage • Freddie Mac Renovation and Construction products • Freddie Mac GreenChoice Mortgages • Freddie Mac ChoiceHome Mortgage • High LTV Refinance Mortgages (currently suspended by GSEs) • Fannie Mae Native American Lending Initiative (NACLI) • Fannie Mae Disaster Related Limited Cash-Out Refinances
AUS	Manual underwriting is not permitted. All loans must have an acceptable DU or LPA response.
Social Security Number	All borrowers must have a valid social security number
Credit Score	At least one borrower must have a valid credit score Minimum Credit Scores Required regardless of DU/LPA response for the following: • Second Homes • Investment Properties • 3-4 Unit Renovation loans • One-Close construction loans
Age of Assets for Freddie Mac	Depository accounts must be dated within 45 days of the application Quarterly account statements must be dated within 90 days of the application
Condo Concentration	Flagstar will not lend in condominium projects where its exposure exceeds 30% of the units in projects with more than 4 units.
Appraisals	Desktop Appraisal is not eligible Freddie LPA ACE +PDR are not eligible
One-Close Construction	A contingency reserve of 5% is required on new construction Major remodels and tear downs are not eligible
Homestyle and HomeReady-Homestyle Renovation	A 10% contingency reserve is required, regardless of occupancy or number of units
Employment Commencing After Note date	Agency options requiring income verification (paystub) after Note date to confirm qualifying income are not eligible: Fannie Mae Option One and Freddie Mac Option Two referenced in their Selling Guides
Flood Insurance	Properties located in a Coastal Barrier Resources Area (CBRA) or Otherwise Protected Area (OPA) are prohibited
Cooperative Properties	Cooperatives are eligible for Fannie Mae/DU only Flagstar will not lend in condominium projects where its exposure exceeds 20% of the units in projects
Manufactured Homes	Fannie Mae Fixed Rate/DU only Manufactured homes must be double-wide/multi-width. Single-width are not eligible Property must be an existing manufactured home on a permanent foundation and previously converted to real estate Purchase transactions will be eligible for subsequent purchases only. New construction manufactured home or manufactured home dealer purchases are ineligible

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	Refinance of interim construction financing of a manufactured home are ineligible Manufactured Home may not be located in a Condominium, or Cooperative or project or have leasehold interests Not eligible for Single Financed Mortgage Insurance MH Advantage properties are not eligible
Manufactured Home as Accessory Units	Manufactured home accessory unit must be recorded on title as real property prior to closing or at time of purchase. An appraisal is required to verify compliance with all manufactured home standards, regardless of DU/LPA response offerings for an appraisal waiver The addition of or improvements to a manufactured home accessory unit are not eligible under the Homestyle Renovation product
Mortgage Insurance	Mortgage Insurance must be Borrower Paid Monthly, Single Financed and Lender Paid. Unless permitted per the product, reduced MI options are not permitted
Construction to Permanent Financing	Financing to pay-off interim construction loans are eligible with Fannie Mae/DU only Cash-out transactions are not permitted
Multiple Loans to the Same Borrower	Flagstar Bank will not approve or close more than 10 residential loans to any one borrower with an aggregate loan amount total of no more than \$4,000,000 - When determining if the limit has been met, new loan submissions for a borrower must take into consideration any of that borrower's outstanding loans with Flagstar Bank that are: - non-closed, - closed and currently serviced by Flagstar Bank or - closed but the servicing rights have been sold within the last 24 months
Occupancy	If borrower applies for an owner-occupied transaction after closing on a previous owner-occupied transaction with Flagstar on a different property in the last 12 months, the new transaction will be ineligible. This guideline will not apply if the previous property has been sold or refinanced as a non-owner-occupied residence
Power of Attorney	Not allowed on cash-out refinance Power of Attorney must be transaction specific unless it is a Military Durable POA Document may not be eSigned Agent must be a family member (or have a fiduciary interest when allowable per Freddie Mac). All other parties are ineligible from acting as an attorney-in-fact
Closing in Trust	An attorney opinion letter or Certificate of Trust to validate agency warranties are met
Property Condition- Fannie Mae	Properties must be appraised with a condition of C4 or better. Properties in C5 are ineligible
Life Estates	Life Estates are ineligible
Lava Zones – Freddie Mac	Lava Zones 1 and 2 are prohibited
Land Trusts	Land Trusts/Community Land Trusts are not eligible
Leaseholds	An attorney opinion letter stating agency warranties are met.
U.S. Territories	Properties located in Guam and Puerto Rico are not eligible

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Rate and Term Proceeds-Freddie Mac	Allowable cash back under a rate-and-terms transaction may not be used to pay off debt for qualification
Special Purpose Cash-Out-Freddie Mac	A Mortgage where the proceeds of the refinance to buy-out the equity of a co-owner is priced as a cash-out
Title Commitment	Attorney Opinions of Title are not acceptable. Generally, title commitments have a 90-day effective date, however a title commitment cannot exceed 120 days. If the title commitment exceeds 120 days, the title insurer is required to provide a gap letter (good for an additional 60 days) or an updated/new title commitment. Under no circumstances can a title commitment with a gap letter exceed 180 days.
TRID	Non-owner-occupied loans must adhere to all TRID rules.
Buydowns	Temporary Buydowns are not allowed
Prepayment Penalty	Prepayment Penalties are not allowed
Escrow Waivers	Fannie Mae and Freddie Mac requires Lenders to have a written policy governing the circumstances under which escrow accounts may be waived. Flagstar policy for an escrow waiver is as follows: • LTV must be 80% or less (CA only permitted up to 90%, see limitations below); • Allowable on owner occupied and second home properties with an Accept or Approve from LPA/DU and a minimum representative credit score of 620. No assets other than those required by LPA/DU need to be verified; • Allowable on investment properties with an Accept or Approve from LPA/DU and a minimum representative credit score of 700. LPA/DU required assets, in addition to one-year of taxes, must be verified; • A pricing adjustment will be charged for all approved full escrow waivers, see rate sheet and/or Flagstar pricing engine for applicable LLPA. A partial waiver for insurance only is not subject to a pricing adjustment • See guidelines for additional limitations
Non-Permanent Resident Aliens	Fannie Mae and Freddie Mac require Lenders to rep and warrant a non-U.S. citizen borrower is legally present in the United States. While all borrowers must document they are legally present in the United States with a Green Card, VISA, EAD Card, etc., any borrower with income used for qualification must be present under one of the eligible VISA classifications and requirements per guidelines.

The [Conventional Underwriting Guidelines](#), include but not limited to, the above referenced overlays to Fannie Mae or Freddie Mac Selling Guides. This document is for reference purposes and is not intended to replace Flagstar Bank underwriting guidelines.